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DO YOU KNOW the beauty of a ‘disclaimer’? It simply allows you to present your views and opinions in any manner whatsoever, and then conveniently wash your hands of any possible effect, impact or action it might lead to. A word with great utility, one may say, especially when one wants to forecast a great future for a company and, at the same time, tell potential investors that the estimates may actually prove to be inaccurate.

Disclaimers are widely used, and one such place where they are used unsparingly is in the document that unlisted companies file with the capital markets regulator when they want to go public through an initial public offering (IPO). This document—known as the draft red herring prospectus (DRHP)—includes findings of an industry report prepared by a third-party entity that does its own survey on aspects like the potential of the sector in which the company operates, the market size and growth prospects of the company, among other things.

Importantly, the study is commissioned by the com-

pany that wants to go public. So, it would be safe to assume that the report is likely to have estimates or predictions that would paint a bullish outlook for the industry and the company. And, there is a disclaimer hidden in the fine print as well: “Certain sections of this DRHP contain information... which has been commissioned by us and any reliance on such information for making an investment decision in the offer is subject to inherent risks.” Just to make that a watertight case, there is a separate disclaimer from the research partner as well, stating that the accuracy of the forecasts and estimates is not guaranteed and the findings could be inherently inaccurate as well. This has been the practice until now.

But the Securities and Exchange Board of India (Sebi), the markets regulator whose preamble includes protecting the interests of investors, is not impressed. It has taken a strong view of this practice, and has initiated steps towards bringing in accountability in this space of disguised recommendations and forecasts.

TIME TO TAKE RESPONSIBILITY

Sebi has written to the merchant banking community to take complete responsibility of the contents of the draft document filed ahead of an IPO. It has reminded them that the regulatory framework has clearly laid down that they should exercise proper due diligence and ensure the authenticity and veracity of all disclosures made in the IPO document. According to people familiar with the matter, Sebi has already communicated its concerns to the Association of Investment Bankers of India—the umbrella body of merchant bankers. It has separately written to each registered merchant banker as well.

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UNDER PRESSURE TOP IPO LOSERS SINCE JANUARY 2021

